

It didn't matter what arrangements had been made in the past. The rule was, pay in full, or surrender the properties. In an effort to salvage some of the more valuable properties, Bud approached some of his wealthiest clients, who stood to lose the most if the ventures failed. He asked them to put up the necessary capital to collateralize the notes on the land they were already invested in. In exchange, he would subordinate his position (take a lesser profit after they got their money when the land was sold). He also guaranteed their additional collateral with a third mortgage on his home without telling Sandi.

Unfortunately, the interest rates remained high, and the real estate market dropped even further as desperate bankers dumped large inventories of unsold land on the already depressed market. Land prices dropped more than 70 percent from the pre-recession high. The investors Bud had convinced to put up additional collateral were faced with either risking more of their assets or losing what they had already pledged. They opted to lose what they had pledged and sue Bud and his partners for negligence.

Faced with the collapsed real estate market and a pending lawsuit, Bud's three partners elected to file for bankruptcy protection. It was only then that Bud learned that all of their personal assets were held in their wives' names and that, other than the now-defunct properties, they had no assets to lose. The investors were left with no one to go after except Bud.

Bud knew he had done nothing illegal or unethical in his dealings with his investors, and he was certain he would be vindicated if the case came to trial. He had been advised not to settle with the disgruntled investors, and they continued their suit out of anger and vindictiveness over the losses they had suffered.

Ultimately, the case came to trial, and Bud waived his right to a trial by jury so the case would be heard and decided by a single judge. The attorney for the investors depicted Bud as a scheming manipulator who had talked his clients into risking money in ventures they could not possibly understand. The conclusion the judge reached: guilty as charged.